

# Shareholder Letter

## Q3 FY2024

Siemens Energy Investor Relations

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Dear shareholders,

On August 7, our CEO, Christian Bruch, and CFO, Maria Ferraro, presented Siemens Energy's Q3 fiscal year 2024 results.

*"The rapidly growing electricity market requires a wide range of our products. Especially our grid and gas turbine businesses are benefiting from this momentum. Importantly, with growing our order backlog, we have been able to improve its margin quality as well. Despite all the challenges, we are optimistic about the future and after the first nine months, we are well on track to meet our full-year guidance",* said Christian Bruch.

During the third quarter of the fiscal year, Siemens Energy continued to benefit from the energy transition, **with record order intake at Gas Services and record order backlog in both Gas Services and Grid Technologies.**

**Orders for the group reached €10.4bn exceeding revenue of €8.8bn. The book-to-bill ratio (ratio of orders to revenue) remained above 1, driving the order backlog to another record high of €120bn. Revenue growth of 18.5% on a comparable basis was driven by substantial growth at Grid Technologies, Siemens Gamesa and Transformation of Industry.**

**Siemens Energy's Profit before Special items was again positive with €49m (Q3 FY23: negative €2,048m).** Prior-year's quarter was heavily burdened by quality issues in Siemens Gamesa's onshore business as well as increased product costs and ramp-up challenges in the offshore business. **Special items were positive €69m (Q3 FY23 negative €41m)** primarily as a result of progress related to the ongoing disposals and the accelerated portfolio transformation. **Profit for Siemens Energy came in at positive €119m (Q3 FY23: negative €2,089m).**

**Siemens Energy reported a Net loss of €102m (Q3 FY23: €2,931m).** Corresponding basic earnings per share (EPS) were negative €0.16 (Q3 FY23: negative €3.42).



**Free cash flow pre tax came in at €727m (Q3 FY23: €27m)** with positive contributions from all segments except Siemens Gamesa which continued to be negative, as expected.

**We confirmed our full year guidance for revenue growth and profit margin before special items, but now expect a positive Free cash flow pre tax in a range of €1.0bn to €1.5bn (compared to up to €1.0bn before),** due to the good development in the first nine months. Furthermore, **we now expect a negative Profit before special items for Siemens Gamesa of up to €2.0bn (compared to around €2bn before).**

On page 3, we share with you some project highlights of this quarter and introduce **Vinod Philip**, the new head of Siemens Gamesa.

I wish you a wonderful summer and want to thank you very much for your continued support.

All the best

*Michael Hagmann*

Michael Hagmann | Head of Investor Relations

**Orders Q3**

**€10.4bn (30)%<sup>1</sup>**

**Revenue Q3**

**€8.8bn +19%<sup>1</sup>**

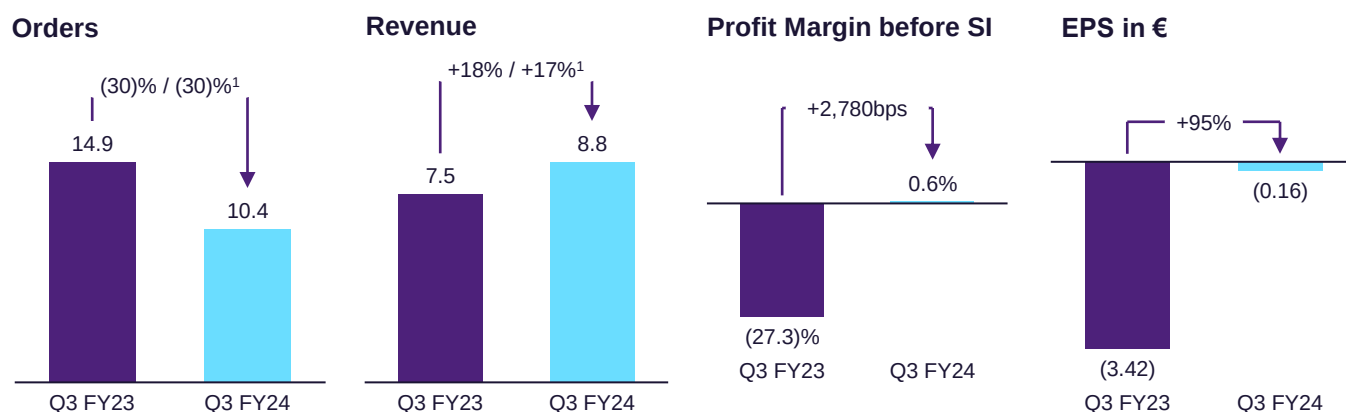
**Profit before SI<sup>2</sup> Q3**

**€49m**

1 Comparable basis: Excluding currency translation and portfolio effects | 2 Special Items

# Siemens Energy in Q3 FY2024

(in €bn, except where otherwise stated)



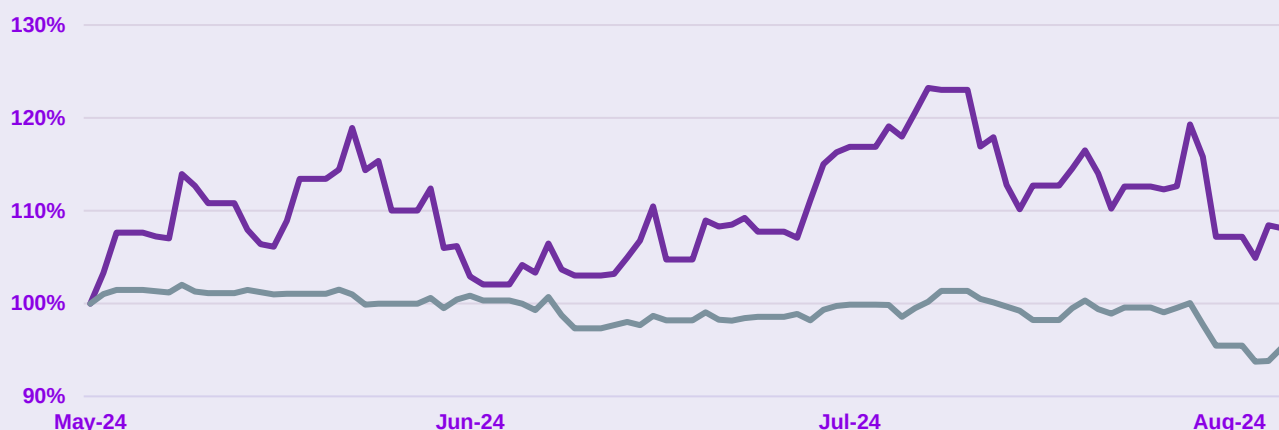
<sup>1</sup> xx% / xx% = comparable (excluding currency translation and portfolio effects) / nominal

| Business Areas                              | Orders       |                | Revenue      |                | Profit Margin before SI |                   |
|---------------------------------------------|--------------|----------------|--------------|----------------|-------------------------|-------------------|
|                                             | in million € | Change (comp.) | in million € | Change (comp.) | in percent              | Margin change     |
| <b>Q3 FY2024</b>                            |              |                |              |                |                         |                   |
| Gas Services                                | 5,269        | +141.6%        | 2,739        | +1.2%          | 6.8%                    | (400)bps          |
| Grid Technologies                           | 3,532        | (14.6)%        | 2,299        | +30.5%         | 10.3%                   | +160bps           |
| Transformation of Industry                  | 1,128        | (13.4)%        | 1,316        | +23.1%         | 7.8%                    | +130bps           |
| Sustainable Energy Systems                  | 12           | +200.0%        | 32           | +32.8%         | (56.5)%                 | (110)bps          |
| Electrification, Automation, Digitalization | 344          | (28.2)%        | 354          | +26.6%         | 5.7%                    | (280)bps          |
| Industrial Steam Turbines & Generators      | 380          | (10.8)%        | 384          | +15.0%         | 12.7%                   | +310bps           |
| Compression                                 | 401          | (1.4)%         | 562          | +27.1%         | 9.4%                    | +210bps           |
| <b>Siemens Gamesa</b>                       | <b>665</b>   | <b>(91.0)%</b> | <b>2,569</b> | <b>+25.2%</b>  | <b>(17.5)%</b>          | <b>+10,670bps</b> |

## Share performance

May 8, 2024 – August 7, 2024

Siemens Energy | DAX



Siemens Energy +8.1% · DAX -4.8% · GE Vernova -2.4% · Baker Hughes +7.3% · Hitachi +15.6% · MHI +30.3%

## Q3 FY24 Project highlights

The growing electricity market drives high demand for our products as we support our customers to facilitate this growth and to deal with the challenges of the energy transition.

Recently, **Gas Services** received a record high order of \$1.5bn from the Kingdom of Saudi Arabia. Saudi Arabia has a strategy to reach net zero by 2060 and is relying on modern, highly efficient gas-fired power plants in combination with CO<sub>2</sub> capture and storage, to significantly reduce its emissions.

Taiba 2 and Qassim 2 will be two of the world's most efficient gas fired power plants with a capacity of 2 gigawatt each. Each plant will be fitted with a total of three of our most powerful gas turbines (HL-class), steam turbines and generators. The CO<sub>2</sub> output will be reduced by 60%. They can be fitted with carbon capture and storage facilities at a later point in time. In addition, Siemens Energy has also entered a 25 years long-term maintenance contract for the two power plants.



**Grid Technologies** won a major framework agreement to renew Denmark's energy infrastructure from Energinet. The agreement focuses on the Western part of Denmark, where approximately 50 new or reinforced 150 kV high-voltage substations are planned to be built or expanded over the next 8 years.

The first four years of the agreement are estimated to be worth up to €800m (DKK 6bn) to accelerate the energy transition. The new substations will be automated and include state-of-the-art grid technologies from Siemens Energy.

**Transformation of Industries** was awarded a contract for a large scale hydrogen project from the German utility EWE.

Siemens Energy will supply a 280-megawatt electrolysis system. The plant in the German city of Emden is expected to go into operation in 2027 and will provide up to 26,000 tons of green hydrogen annually for various industrial applications in the region. If this green hydrogen replaces fossil fuels, around 800,000 tons of CO<sub>2</sub> per year could be avoided in the steel industry, for example.



## Leadership change at Siemens Gamesa

On August 1, Jochen Eickholt handed over the responsibility for Siemens Gamesa to Vinod Philip. With the generational change at the top of Siemens Gamesa, the intended embedding as a fourth division and the adoption of the multi-year restructuring plan, the integration is entering the next phase.

### Vinod Philip



Vinod Philip has been a Member of the Executive Board of Siemens Energy AG since October 1, 2022.

He has a strong background in energy. He started working for Westinghouse Electric Corporation in 1997, later Siemens, and quickly assumed management positions with increasing responsibility.

Since Siemens Energy's spin-off in 2020, Vinod Philip was Head of Strategy & Chief Technology Officer, and has been responsible for Global Functions (e.g., IT, Procurement, Project Execution) and the group's innovation strategy as a member of the executive board. In his roles he has been pivotal in shaping the strategic direction of Siemens Energy as we transform to meet the growing global demand for sustainable, affordable, and reliable energy.

# Outlook for the Fiscal Year 2024

|                                     | Revenue Growth <sup>1</sup>                 | Profit Margin before SI <sup>2</sup>            |
|-------------------------------------|---------------------------------------------|-------------------------------------------------|
| Gas Services                        | (2) – 0%                                    | 9 – 11%                                         |
| Grid Technologies                   | 32 - 34%                                    | 8 – 10%                                         |
| Transformation of Industry          | 14 –16%                                     | 5 – 7%                                          |
| Siemens Gamesa                      | 10 – 12%                                    | up to neg. €2.0bn<br>(prev. around neg. €2.0bn) |
| <b>Siemens Energy</b>               | <b>10 – 12%</b>                             | <b>(1) – 1%</b>                                 |
| Net Income                          |                                             | up to €1bn<br>incl. impacts from disposals      |
| Free Cash Flow pre tax <sup>3</sup> | pos. €1bn to €1.5bn (prev. up to pos. €1bn) |                                                 |
| Proceeds from disposals             | around pos. €3bn                            |                                                 |

This outlook excludes charges related to legal and regulatory matters.

**1** Comparable revenue growth: Excluding currency translation and portfolio effects | **2** Profit Margin before Special Items in % of revenue with Profit as earnings before financial result, income taxes, amortization expenses related to intangible assets acquired in business combinations, and goodwill impairments | **3** Free Cash Flow pre-tax as Operating Cash Flow and additions to intangible assets and PPE less Income taxes paid

## Financial Calendar

**Nov 13, 2024** 4<sup>th</sup> quarter FY24  
**Dec 12, 2024** Annual Report 2024

## Contact Investor Relations

+49 89 2070 84040  
investorrelations@siemens-energy.com  
www.siemens-energy.com/investorrelations

**Siemens Energy AG**  
Otto-Hahn-Ring 6  
81739 Munich, Germany

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